EXECUTIVE SUMMARY

1. Introduction

The Local Government Unit of Santa Ana was created by virtue of Executive Order No. 289 signed by President Elpidio Quirino on October 21, 1949 which took effect on January 1, 1950.

The audit covered the accounts and operations of the Municipality of Santa Ana for the calendar year 2020 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSAS), whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

2. Highlights of Financial Information

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Santa Ana for the year ended December 31, 2020, with comparative figures for CY 2019, are as follows:

Particulars	2020	2019	Increase (Decrease)	
			Amount	Percentage
Financial Condition				
Assets	571,171,880.47	472,720,101.75	98,451,778.72	20.83%
Liabilities	159,304,524.27	120,140,593.76	39,163,930.51	32.60%
Gov't Equity	411,867,356.20	352,579,507.99	59,287,848.21	16.82%
Total Income	232,527,270.99	199,718,773.53	32,808,497.46	16.43%
Total Expenses	181,981,507.20	149,780,610.19	32,200,897.01	21.50%
Appropriations	250,122,042.60	228,352,933.61	21,769,108.99	9.53%
Allotments	250,122,042.60	228,352,933.61	21,769,108.99	9.53%
Obligations	182,233,613.61	155,027,068.89	27,206,544.72	17.55%

Comparative Statement of Fund Transfers to and from NGA's, NGO's and PO's.

	2020	2019	Increase (Decrease)
Funds Received from Other Agencies			
Due to NGAs	34,458,713.17	15,793,999.90	18,664,713.27
Due to GOCCs	238,958.35	54,813.53	184,144.82

	2020	2019	Increase (Decrease)
Due to LGUs	2,549,036.69	2,320,835.67	228,201.02
TOTAL	**P37,246,708.21**	**P 18,169,649.10**	**19,077,059.11**
Funds Transferred to Other Agencies:			
Due from GOCCs	68,520.00	P 68,520.00	–
Due from LGUs	16,000.00	16,000.00	–
TOTAL	**P 84,520.00**	**P 84,520.00**	–

3. Independent Auditor's Report on the Financial Statements

We rendered a Qualified opinion on the fairness of the (1) Property, Plant and Equipment (PPE) account amounting to P266,277,383.92 due to the existence of unreconciled difference amounting to P22,558,977.25 between the Report on Physical Count of Property, Plant and Equipment (RPCPPE) and the accounting records, non-conduct of the one-time cleansing procedures in its physical inventory and incomplete RPCPPE and property records thus, unreliable and (2) Trust Liabilities – DRRMF account under the Special Trust Fund amounting to P9,394,509.14 could not be relied upon due to the non-transfer of unexpended balance of QRF and the DRRMF-MOOE for CY 2020 amounting to P7,812,786.47 to the Special Trust Fund thereby understating the Trust Liability account, inappropriate transfer of Continuing Appropriations of DRRMF to the Special Trust Fund; and erroneous presentation of LDRRMF in the Notes to Financial Statements contrary to the accounting and reporting guidelines prescribed under Section 5.11 and 5.1.16 of COA Circular No. 2012-002 dated September 12, 2012.

4. Summary of Significant Audit Observations and Recommendations

1. The accuracy of the reported balance of Property, Plant and Equipment (PPE) account amounting to P266,277,383.92 remained unreliable due to (1) existence of unreconciled difference amounting to P22,558,977.25 between the Report on Physical Count of Property, Plant and Equipment (RPCPPE) and the accounting records (2) non-conduct of the one-time cleansing procedures in its physical inventory and (3) incomplete RPCPPE and property records contrary to COA Circular 2020-006 dated January 31, 2020 and pertinent provisions of the Government Accounting Manual (GAM) for LGUs thus, affecting the fair presentation of the LGU's financial statement.

We recommended that Management:

a. Create the Inventory Committee composed of adequate number of members to conduct physical inventory of all PPEs of the Municipality within the period prescribed under the aforementioned COA Circular;
b. Thru the Inventory Committee created, update the property records based on the results of physical inventory, and reconcile with accounting records;

c. Undertake all other procedures prescribed under COA Circular 2020-006 dated January 31, 2020 to come up with the reconciled and correct balances of PPE accounts in the financial statements; and
d. After the inventory taking, direct the Municipal Accountant to prepare the updated ledger cards for each item of the PPE pursuant to the Section 269 of the GAM for LGUs.

2. The accuracy and reliability of the reported balance of the Trust Liabilities – DRRMF account under the Special Trust Fund as of December 31, 2020 amounting to P9,394,509.14 could not be relied upon due to (1) non-transfer of unexpended balance of QRF and the DRRMF-MOOE for CY 2020 amounting to P7,812,786.47 to the Special Trust Fund thereby understating the Trust Liability account; (2) inappropriate transfer of Continuing Appropriations of DRRMF to the Special Trust Fund; and (3) erroneous presentation of LDRRMF in the Notes to Financial Statements contrary to the accounting and reporting guidelines prescribed under Section 5.11 and 5.1.16 of COA Circular No. 2012-002 dated September 12, 2012.

   We recommended management thru the Municipal Accountant to ensure that only the unexpended balance of QRF and the DRRMF-MOOE at the end of the year will be transferred to the Special Trust Fund Account and will be recorded under the Trust Liabilities – DRRMF account while the Continuing Appropriations/Capital Outlay of DRRMF will continue to be recorded under the General Fund books until the projects funded therefor are completed and should never be transferred to STF.

   We further recommended that the Municipal Accountant reconcile and correct the Notes to Financial Statements by reflecting the correct balances of special trust fund by year.

3. The propriety and validity of disbursement amounting to P8,750,000.00 charged from the BGCM for the purchase of 10,000.00 bags of rice was doubtful due to non-submission of complete supporting documents contrary to Sections 4(6) of Presidential Decree (PD) 1445. Moreover, 178 bags amounting to P155,750.00 remain unaccounted contrary to Section 63 of the same decree thus, exposing government property to risks of possible theft, misuse and misappropriation.

   We recommended to management the following:

   a. Direct the MSWDO and the Municipal Accountant to submit the lacking documents to determine the propriety and validity of the disbursement and to avoid suspension and/or disallowance in audit;
   b. Instruct the Municipal Accountant to ensure that DVs are supported by complete documents in compliance with Section 4(6) of PD 1445;
   c. Direct the GSO and MSWDO to account the 178 bags of rice to determine whether these were not yet distributed and should be taken as inventory or if distributed, provide for the proof of acknowledgement from recipients; and

d. Instruct all concerned departments who are receiving goods to inform and coordinate with the GSO for the inspection, receipt, preparation and maintenance of inventory list and stock cards of such goods, before issuance to the concerned end users or recipients.

E. Summary of Total Suspensions, Disallowances, and Charges

The municipality had unsettled suspensions and disallowances amounting to P962,697.05 and P12,057,086.38, respectively, as of December 31, 2020.

F. Status of Implementation of Prior Year's Audit Recommendations

Out of seventeen (17) audit recommendations embodied in the prior years' audit report, eight (8) were fully implemented, four (4) were partially implemented and five (5) were not implemented as of December 31, 2020.